IESE Business School
University of Navarra

MBA-2026
Winter Term
4 ECTS

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Search Funds and Entrepreneurial Acquisitions 3

Introduction

Since the launch of the first search fund in 1983 in the US, over 1000 search funds have been launched. With historical pre-tax IRRs of over 30% and pre-tax returns on capital of over 3x, search funds have started to attract attention also outside the US.

Search funds are an important subset of entrepreneurs who acquire businesses with the purpose of running, improving, growing and ultimately selling them, hopefully at a handy profit for investors and the entrepreneur. What distinguishes search funds from other forms of Entrepreneurial Acquisitions (EA) or Entrepreneurship through Acquisition (EtA) is the standardized process whereby the entrepreneur raises a fund from investors (wealthy individuals and institutional funds) to finance his/her search. It is this supply of capital for the search (search capital) that gives the investors the optionality to supply capital for the purchase of the company (acquisition capital).

During this session you will get insights into the world of search funds but more importantly you will get valuable lessons for entrepreneurial acquisitions (acquisitions by entrepreneurial managers) such as sourcing, acquiring and growing a company.

Course Objectives & Outcomes

'Being an entrepreneur' for many a person means starting a business. This is however only one type of entrepreneur. It requires specific capabilities such as 'creating from scratch', a high tolerance for the unknown as well as the ability to convince non-believers or predict and create the future. EA and search funds are based on another form of entrepreneurship, namely the ability and passion to finesse, energize, scale, improve and further shape what is already in existence, as well as the desire to run one's own business. It indeed needs different skills to go from 0 to 10 than from 100 to 1,000.

During this course we will discuss the entire EA and search fund process, its challenging moments as well as its gratifying rewards. We will discuss some tricks-of-the-trade and some of the major pitfalls. The ultimate objective is for the participant to be able, or to be closer to be able to answer following questions:

- Is this a career path for me?

- If so, is now the right moment to start or should I postpone this (till when)?
- I'm in, what do I do next?
- What are the major stepping-stones and what are the important black spots and drawbacks?

Specifically, the participant will have a better understanding on what to do and who to approach during the fundraising process, how to start a sourcing process, what type of industries and companies to target and which ones to avoid, how the negotiation and acquisition process works and which early priorities to set upon acquisition.

Evaluation

The course grade will be determined as of IESE policies. It will be calculated as follows:

Description	Percentage
Individual reports (SE1)	60%
Performance in class (SE2)	40%

This course is dynamic with strong participation from the participants. Therefore 40% of the grade will be based on class participation. The remaining 60% will be dependent on 2 assignments. Maximum 750 words/assignment. You can choose from any of these combos (no mixing).

- Combo #1: Sierra Capital, and SunWest Medical Devices
- Combo #2: Eyewitness Surveillance II and Graham Weaver
- Combo #3: Greg Mazur and Bonobos
- Combo #4: Baskits and Paul Thompson
- Combo #5: Workwell (B) and To sell or not to sell

Assignments must be put on Blackboard before the start of the relevant session.

I expect you to explain the core issues as well as how you would have tackled them

Course Outline

INTRO

Session 1	**Examining EA and Search Funds**
Case	Stanford, E-365 Models of Entrepreneurial Acquisition
Recommended reading	EA-SF Chapter I. Life is Not a Rehearsal: The Decision
Questions	- What are the pros and cons of each EA alternative? - Which of the three alternatives do you think is best for Pat? Explain.

FUNDRAISING

Session 2	**Fundraising**
Case	Stanford E-736 Calyx Capital Partners
Recommended reading	EA-SF Chapter II. Money has Faces: Fundraising
Questions	- Comment on the team's fundraising process. What did you like, what would you do differently? - What advice would you give them in their decisions/questions concerning their final CapTable/Syndicate?

SEARCHING

Session 3	**What makes for a good acquisition target?**
Case	Stanford E-358 Sierra Capital Partners
Recommended reading	EA-SF Chapter IV. In Search of the Holy Grail: Sourcing II
Questions	- Which opportunity would you pursue? Explain. - How does your chosen opportunity fit or deviate from your company and industry criteria? Why were you willing to compromise?

ACQUIRING

Session 4	**Negotiating the Acquisition**
Case	Stanford, E-362 WorkWell (A)
Recommended reading	EA-SF Chapter V. Reconnaissance: The Acquisition Process I, 126-144
Questions	- Evaluate the searchers' management of early discussions with O'Connell. What do you think they did well? What, if any, suggestions do you have for improvement? - How should the searchers respond to the questions and requests made by O'Connell and his accountant during their second meeting?

Session 5	**Structuring the Acquisition**
Case	Stanford, E-362 WorkWell (B)
Recommended reading	EA-SF Chapter V. Reconnaissance: The Acquisition Process I, 145-158
Questions	- Do or don't you like the target? Explain. - How would you value this company and with what terms? Be prepared to make an offer (price and structure) for this company or explain why you are walking away.

Session 6	**Due diligence**

Case	Stanford, E-724 Eyewitness surveillance II
Recommended reading	EA-SF Chapter V. Reconnaissance: The Acquisition Process I, 158-180
Questions	- Discuss Rush and RT's due diligence process - Discuss the red flags and suggest solutions for them - How would you respond to the request from the seller? - Where do you go from here?

Session 7	**Investing in Acquisition Entrepreneurs**
Case	Stanford E-567 Coley Andrews
Questions	- Was it reasonable for Andrews and his partner to reverse their investment decision on Larkin Ventures? Any side effects? - Develop Andrews' talking points in preparation of Larkin Ventures' investors. - As Andrews, prepare your talking points for your meeting with Lowe. Would this include Oster? Note: Be ready to role-play

Session 8	**Guest speakers: Searchers**

Session 9	**Valuation**
Case	HBS 9-211-085 Greg Mazur and the Purchase of Great Eastern Premium Pet Foods
Recommended reading	EA-SF Chapter VI. Doing the Deal: The Acquisition Process II, 181-197
Questions	- Discuss the industry and the company's fit within the context of an entrepreneurial acquisition. - Would you pay $1.2M for this business (look at the financial model)? Explain. - Discuss Mazur's due diligence

MANAGING

Session 10	**Running the company (I) Day one as CEO**
Case	Stanford, E-362 WorkWell (C)
Recommended reading	EA-SF Chapter VII. Surviving Year One: Management I, 210-239
Questions	- What should Frazer and Kelsie do ahead of Day one? - What is their Day One Priorities? Note: Be ready to role-play

Session 11	**Running the company (II) The first year**
Case	Stanford, E-634 California Medical Transport
Recommended	EA-SF Chapter VII. Surviving Year One: Management I, 240-247

reading	
Questions	- As an investor, what advice would you give Tyler for year one? - As Tyler Coats, how would you prioritize your first year?

Session 12	**Guest speakers: CEOs**

Session 13	**Running the company (III) The first three years**
Case	HBS, 9-217-001 Baskits Inc
Recommended reading	EA-SF Chapter VIII. The Groundwork of the Early Years, Management II
Questions	- Discuss the key factors that influence the long-term success of Baskits? What needs to be accomplished? - How does this compare to the things required for short-term success? - Do you agree with Kovitz's decision to re-configure the business's facility to a single year-round location from a smaller year-round facility plus a three-month season location? Explain. - What is your view on Kovitz's decision reintroducing an IT system? Explain.

Session 14	**Running the company (IV) Beyond year three**
Case	Stanford, E-107 SunWest Medical Services
Recommended reading	EA-SF Chapter IX. The Seasoned Operator: Management III
Questions	- Evaluate Landry's and Brooke's actions in managing the company in each of the following stages: o After buying but before the audit o The financial work out o The growth phase - What were the factors leading to success? - What critical actions should Landry take for continued success?

Session 15	**Running the company (V) Difficult conversations**
Case	Stanford, E-514 Bonobos, Inc.
Recommended reading	EA-SF Chapter IX. The Seasoned Operator: Management III
Questions	- Given Dunn's objectives in initiating the conversation with Greene, how should he respond to Greene's comment about the susceptibility of engineers to burnout and the futility of asking them to work harder? Should he tell Greene that continued underperformance will inevitably have consequences? Prepare to role play.

	- Since Dunn has concluded that he needs to shut down the Silicon Valley office and relocate the engineering function to New York, how should he proceed with the board regarding this decision? Prepare to role play. - You are Andy Dunn. What do you do after you find out about what Long said at the meeting he called with the engineering team? Prepare to role play.

Session 16	**Running the company (VI) Managing through a crisis**
Case	HBS 9-818-057 Paul Thompson: Walker Insurance
Recommended reading	Note: IESE EN 34-E Letter to a Young Operator on Managing During a Crisis
Questions	- How well has Thomson done so far in turning Walker Insurance around? - What are the risks Thomson is facing? Explain. - What should Thomson do? Explain.

EXITING

Session 17	**Exiting the Company**
Note	To Sell or Not to Sell
Recommended reading	EA-SF Chapter XI. Letting Go: The Exit
Questions	- Make a plan for a board presentation on the subject? Reflect the different stakeholders.

INVESTING

Session 18	**Guest Speakers: Investors**

Session 19	**Running Portfolio Companies**
Case	Stanford, E-110 Graham Weaver
Recommended reading	EA-SF Chapter X. Boards and Corporate Governance: Management IV (Recommended reading)
Questions	- Explain if following issues are management and/or board issues and what you suggest Graham should do: o Sexual harassment case @ Verdant Labels o Personnel issues @ Alpha Labels o CEO recruitment decision @ Midway

Session 20	**Wrap Up Session**

Content

The course touches upon each critical phase of the search fund journey.

First, we will discuss whether EA is a path you might want to consider (and how to go about it). We will continue with discussing how to manage a successful fundraising. Next on the agenda is the discussion on sourcing (process and execution), followed by how to execute an acquisition.

Thereafter the focus shifts to managing and growing the acquired company, before discussing how and when to exit. We end the course touching upon some EA-topics from an investor's perspective.

Bibliography

Mandatory: Cases

Recommended:

Book: Simon, J., 'Entrepreneurial Acquisitions and Search Funds, The Roadmap for Buying a Business and Leading it to the Next Level', TellWell, 2021, ISBN 978-0-2288-6403-5.

Professor's Biography

Jan Simon

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Jan Simon is Professor of the Practice of Management in Entrepreneurship at IESE and the Academic Director of its International Search Fund Center.

Jan worked over two decades in the investment industry. He co-headed the Emerging Markets Trading Desk at Salomon Brothers, set up the Continental Sales-Trading Desk at Goldman Sachs, and was a member of Merrill Lynch's Hedge Fund Advisory Group. He has been a Special Advisor to Pacific Lake Partners and is the Managing Partner of Vonzeo Capital, a global institutional investor in search funds.

His expertise is in the areas of investment strategies, mergers and acquisitions and, entrepreneurial acquisitions. He has managed money in equities, fixed income, search funds, and advised hedge funds in a variety of strategies. His research has been published in academic journals such as the Journal of Network Theory in Finance and the British Journal of Management.

Jan holds an LL.B. and LL.M. from the Katholieke Universiteit Leuven, an MBA from IESE Business School, earned his Ph.D. in Finance from the University of Essex, holds the ICD.D Designation for corporate directors from the Rotman School of Management, and earned his AMP at Harvard Business School.

He served the 1st Battalion of Parachutists and Commandos -Special Operations Regiment-, as well as NATO's Special Intervention Forces -ACE Mobile Force. He holds both the green and red beret.

Learning Outcomes

These are the Learning Outcomes:

- Know the key elements of business sustainability and learn how to implement it within companies. (OP02)
- Interact as a company executive with primary internal and external stakeholders. (OP03)
- Develop long-term investment strategies with sustainability criteria in financial markets across different asset classes. (OP05)
- Explore funding sources for new businesses, such as crowdfunding, business angels, venture capital, and alternative stock markets. (OP06)
- Develop sustainable growth strategies through mergers and acquisitions. (OP07)
- Apply technological innovation and new digital infrastructures to business models. (OP08)
- Understand the corporate financing process focused on a variety of operations (startup creation, growth investments, and acquisitions) from both the entrepreneur's and investor's perspectives. (OP11)
- Conceptualize, design, analyze, and apply new business models. (OP12)
- Critically evaluate relevant information for improved decision-making. (R01)
- Integrate economic efficiency, ethical criteria of respect for human dignity, and planetary sustainability in decision-making. (R10)
- Lead diverse teams by optimizing resources and inspiring trust, which translates into commitment and autonomy for the rest of the team. (R11)
- Analyze the impact of business decisions from a general management perspective, operating within a global competitive context. (R22)
- Apply an entrepreneurial mindset, with a creative and open attitude, driving necessary changes with energy and personal responsibility. (R23)

Formative Activities

Time distribution for each formative activity:

Description	Hours
Sessions with the professor (AF1)	37h
Individual student work (AF2)	39h
Teamwork (AF3)	17h
Assessments & Exams (AF4)	7h

Sustainable Development Goals

While not primarily focused on sustainability, this course meaningfully incorporates sustainability-related content and perspectives where relevant. Topics such as environmental impact, social responsibility, or ethical considerations are introduced in connection with the core subject, through readings, activities, or discussions. This integration enhances students' understanding of sustainability within the broader context of business and society.

It addresses the following SDGs:

- SDG8. Decent work and economic growth
- SDG9. Industry, innovation and infrastructure
- SDG10. Reduced inequalities